

FEDERAL MARITIME COMMISSION

DOCKET NO. 15-10

**REVOCATION OF OCEAN TRANSPORTATION INTERMEDIARY
LICENSE NO. 017843 – WASHINGTON MOVERS, INC.**

ORDER TO SHOW CAUSE

**BUREAU OF ENFORCEMENT'S RESPONSE
TO WASHINGTON MOVERS, INC.'S STATEMENT
OF FURTHER SUBMISSIONS**

Pursuant to the Initial Order issued by the Administrative Law Judge (ALJ) in this proceeding on February 18, 2016, the Bureau of Enforcement (BOE) files this Response to the Statement of Further Submissions filed on March 3, 2016 by Washington Movers, Inc. (Washington Movers or Respondent).

According to its Statement, Respondent intends to focus its case on reinforcing “that Washington Movers is Norma Ghanem’s company.” (Statement, pp. 1, 5). To that end, Respondent submits with its Statement various contemporaneously-dated documents purporting

to support this contention.¹ Respondent contends that an evidentiary hearing is necessary for this purpose. While Respondent is free to select its own strategies for the presentation of its case, BOE questions its asserted need for an evidentiary hearing on matters that are not determinative of the issues to be resolved. Whether Norma Ghanem is qualified to run the company is not determinative of the issues to be resolved in this proceeding.

The Commission's Order To Show Cause served October 8, 2015, framed two alternative grounds for revocation of license no. 017843: (1) the felony conviction of Sam Ghanem as the sole owner, President and Qualifying Individual (QI) of Respondent; and (2) the several regulatory violations by Washington Movers including its failure to advise the Commission of material changes in information relevant to its fitness to continue to operate as an ocean transportation intermediary. The Commission's February 12 Order Regarding Preliminary Issues neither restated nor expanded the issues for determination by the ALJ.

There appears no dispute as to the facts of Sam Ghanem's arrest and federal smuggling conviction, which may be officially noticed in any event. See 46 C.F.R. §502.226. Nor is there any dispute that at the time of his arrest, Sam Ghanem was the sole owner, President, and Qualifying Individual (QI) of Washington Movers, Inc., facts contained in the Commission's records. Notably, Respondent does not challenge either fact. In assigning this matter to the ALJ, the Commission's Order Regarding Preliminary Issues identified as a continuing factual dispute whether Mr. Ghanem's criminal conduct also implicates the corporate Respondent, i.e., whether Sam Ghanem utilized his company as the instrumentality to commit his crimes. BOE thus seeks a determination that Mr. Ghanem's convictions under 22 U.S.C. §2278 and 18 U.S.C. §554 would

¹ The Initial Order does not require submission of evidence at this time, but only requires a description of further submissions.

cause the Commission to hold that Mr. Ghanem is no longer qualified to render intermediary services as the current Qualifying Individual of record for Washington Movers, and whether such determination would likewise apply to Washington Movers, the corporate licensee.

BOE has already submitted documentation to establish Mr. Ghanem's conviction and documenting Washington Movers' role as an instrumentality in those criminal acts. Respondent has essentially conceded the dispositive effects of Mr. Ghanem's conviction and its implications upon continued licensing of Washington Movers in alleging that following his arrest, it immediately removed Sam Ghanem as an officer and owner of the company. See Reply To Order To Show Cause filed in this proceeding on Nov. 2, 2016: "As soon as Sam Ghanem's name became associated with possible criminal conduct, Norma Ghanem, along with Washington Movers' staff, took control to preserve the business." (Reply, p. 2).

BOE submits that there are no material facts currently in dispute concerning the role of Washington Movers in effectuating Mr. Ghanem's crime and Respondent has offered none. For example, Respondent identifies as a potential witness Sam Ghanem's criminal attorney who would testify that Washington Movers was not charged in the criminal case. That fact, of course, is not in dispute and there is no need for evidence on that point. Respondent also indicates that Sandra Rodriquez and Norma Ghanem will testify to their lack of knowledge of Sam Ghanem's criminal conduct. Again, the contention is not relevant. Even if true, lack of knowledge by others is not probative of whether Sam Ghanem used the company's status as an OTI to effectuate the crimes for which he was convicted. Respondent fails to identify a valid basis for an evidentiary hearing.

The Commission's Order to Show Cause likewise identified Washington Movers' failure to notify the Commission of its name change or of Mr. Ghanem's arrest, indictment and

convictions, in violation of the Commission's OTI licensing requirements, as further bases for revocation. Order to Show Cause, at 4; Order Regarding Preliminary Issues, at 2. Here again, BOE has already submitted documentation to establish Washington Movers' failures in these regards. It appears that Washington Movers does not dispute such failures, but rather asserts that any such failures should be deemed excused by the company's filings subsequent to the date this proceeding was instituted. Washington Movers may certainly argue at hearing that it mitigated any such regulatory failures on its part, but does not require an evidentiary hearing to do so.

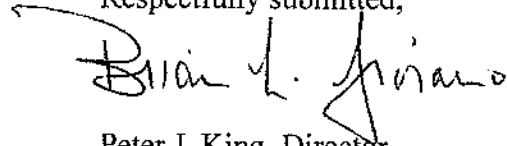
The remainder of Respondent's case, according to its Statement, will address Norma Ghanem's current position with the company and her asserted qualifications to run the company. Based on the list of possible witnesses that Respondent has identified and the substance of their testimony supporting Norma Ghanem's ability to run the company, it appears that Respondent has confused the issues in this revocation proceeding with those in its pending application to approve Norma Ghanem as the QI.² However, the Commission's Orders issued in this proceeding address past conduct of Sam Ghanem and his FMC-licensed company as the basis for revocation and the necessity for an evidentiary hearing should be directed to those issues. Respondent has not identified any relevant evidence that it would submit with respect to those issues.

BOE submits that any factual issues to be resolved in this proceeding are limited. BOE will submit additional evidence and legal argument to supplement its prior submissions in this proceeding addressing those issues. BOE believes that any such issues can best be reduced or resolved through discovery, requests for admissions and depositions as appropriate, and thereafter

² Whether Mrs. Ghanem can qualify as a QI involves separate issues that are best left to resolution in their appropriate forum. Obviously, revocation of the license would moot the pending application. Conversely, should the Commission ultimately determine that the license should not be revoked, the pending application could move forward.

through the presentation of written verified statements, documentary evidence and legal argument as done in virtually all other contested cases before the Commission. Any evidentiary hearing should be focused thereafter to address only those issues identified by the Commission as grounds for revocation. Respondent's request for an evidentiary hearing describes a variety of contentions and theories, but would not assist in resolution of the facts necessary for the determination assigned by the Commission.

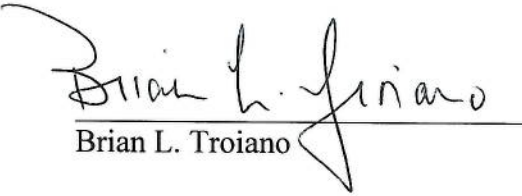
Respectfully submitted,

A handwritten signature in black ink, appearing to read "Brian L. Troiano". The signature is written in a cursive, flowing style with a long horizontal stroke at the end.

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CERTIFICATE OF SERVICE

I hereby certify that a copy of the foregoing Bureau of Enforcement's Response To Washington Mover, Inc.'s Statement of Further Submissions has been served upon counsel for Respondent identified below by email and by first class mail with postage prepaid this 10th day of March, 2016.


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